



Interim 2014 Results Presentation

18th August 2014

Umeme - powering Uganda

- Twenty year concession to distribute electricity in Uganda (running to 2025)
- Contracted net **US\$ return of 20%** p.a. on investment
- Regulated by the Electricity Regulatory Authority with energy losses target, collections target and operating cost allowance agreed through to 2018
- Single buyer model with Government of Uganda Support Agreement
- Secure cash flow: over 70% revenues from industrial, commercial and government customers
- Diversified investor base with listing on Uganda & Nairobi Securities Exchanges
- Incentivised management team
- 50% dividend payout policy

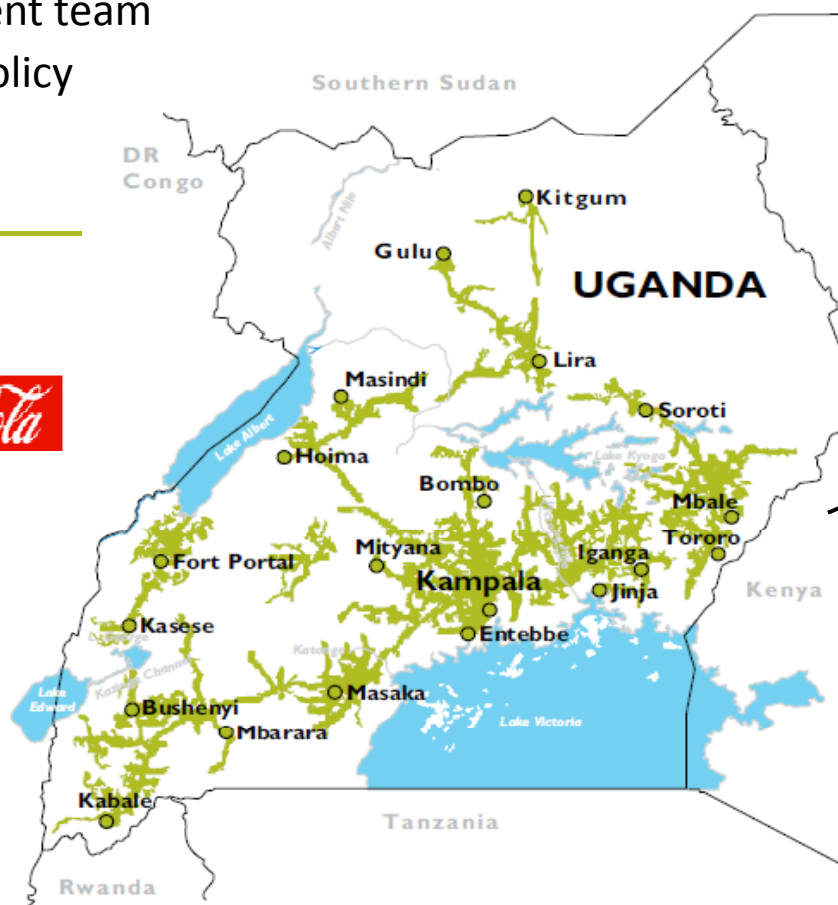
Blue chip customer base



DIAGEO

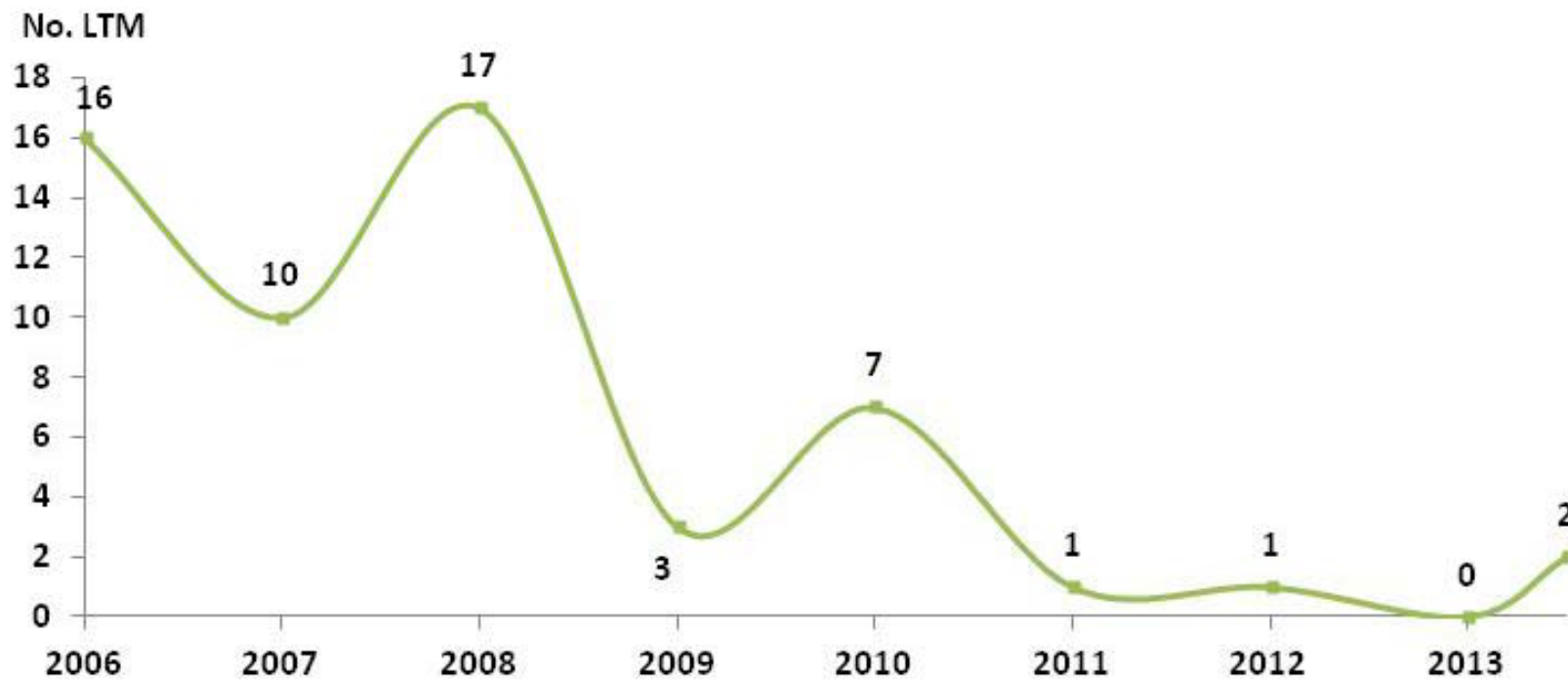


TIAN TANG GROUP



Safety

Two network related fatalities in H1



Operational summary

1. Investment

- **US\$47m** capex in first six months (US\$18m H1 2013): New Capital & Contracts division

2. Regulatory targets

- Energy losses ↓ by 3.3 percentage points to **21.6%**
- Revenue collection of **96.6%**
- Opex **Ushs 74bn** from Ushs 68bn in H1 2013. Restructuring of engineering division leading to improved maintenance.
- Customer numbers up 14% y-o-y to **613,000** with 74,000 new connections. Prepaid now at 94,000
- Customer service

3. Growth factor

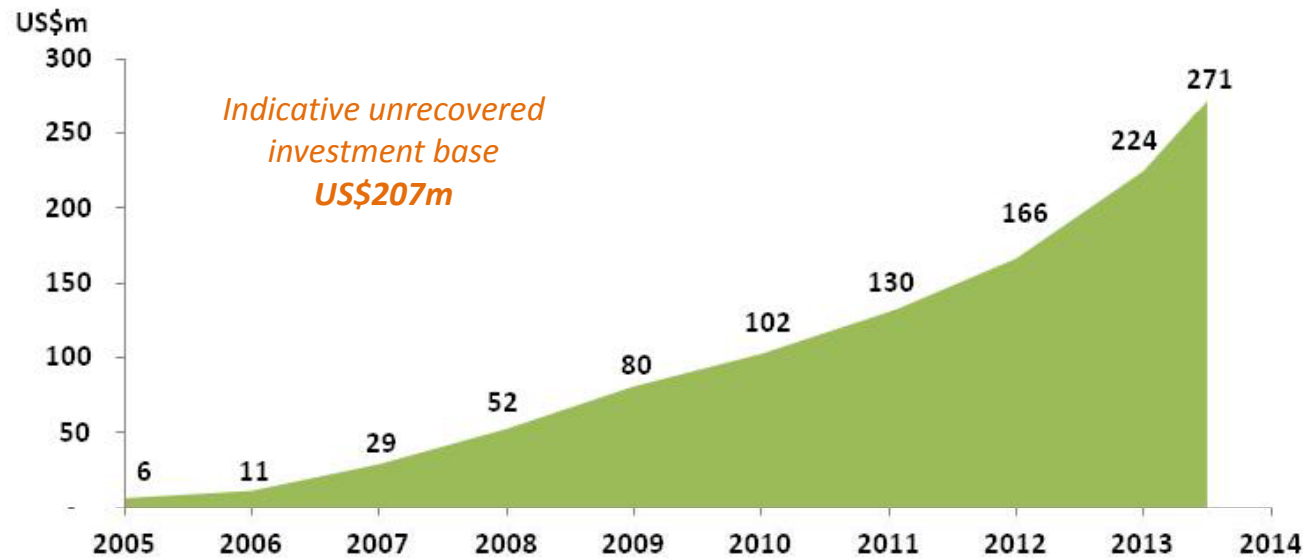
Financial summary

Ushs bn	H1 2014	H1 2013	Variance
Revenue	483	467	+3.4%
Gross profit	154	146	+5.1%
EBITDA	84	81	+2.1%
Profit before tax	55	68	-18.9%
Profit after tax	38	47	-19.1%

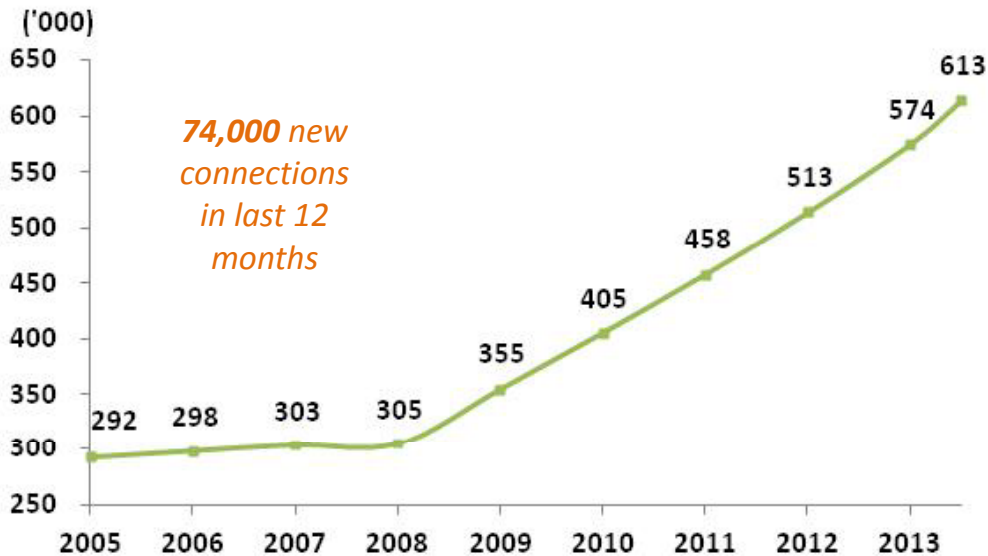
- **Gross profit:** underlying +15% (lower growth factor and 2012 IN recognised in 2013)
- **Profit after tax:** underlying +4% (unrealised FX losses)
- **Cash generation:** Ushs 31bn vs Ushs 52bn in H1 2013 (GoU arrears Ushs 34bn)
- **Interim dividend** per share of **Ushs 9.4** to be paid in December (Ushs 8.0 H1 2013)

Growing the network

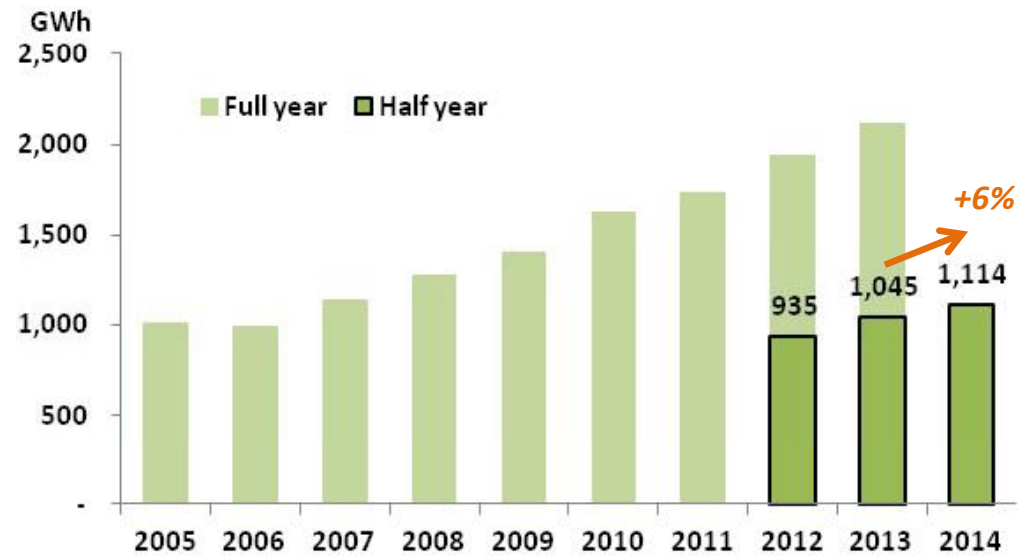
Strong capital investment (cumulative)



Strong customer growth



Sales growth

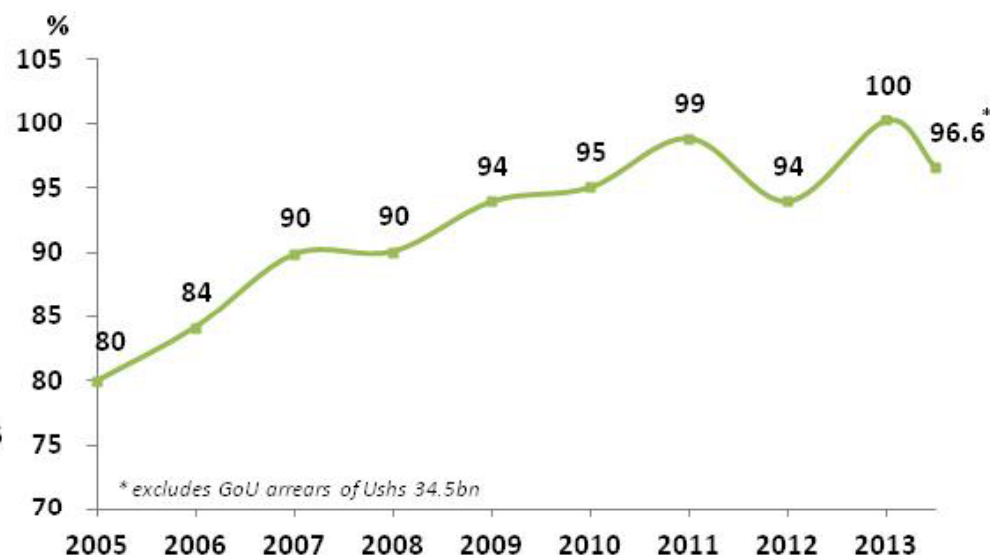


Strong performance against targets

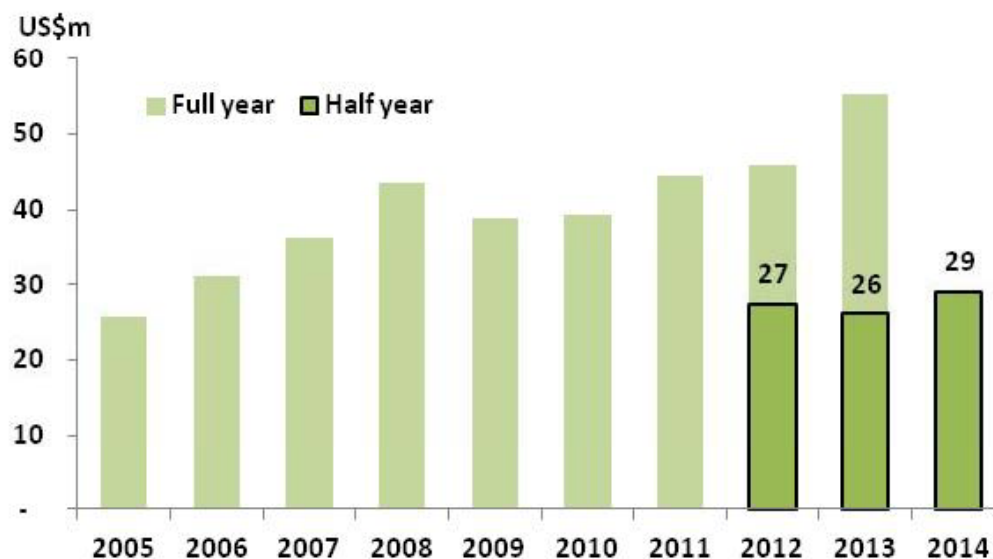
Energy losses



Revenue collection



Operating costs



Agreed regulatory targets *

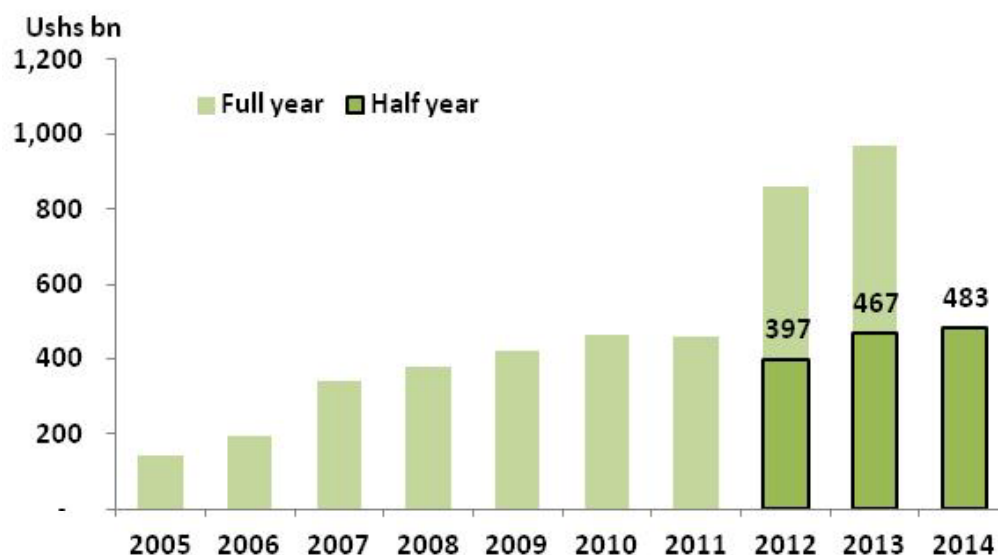
Tariff parameter	'13	'14	'15	'16	'17	'18
Energy losses (%)	23.5	20.5	18.6	17.1	15.9	14.9
Collection rate (%)	97.3	97.5	97.7	97.9	98.2	98.5
Operating allowance (US\$m) **	Nominal	43.8	44.5	45.9	47.4	48.9
		50.4				

* Umeme financial year (Jan-Dec)

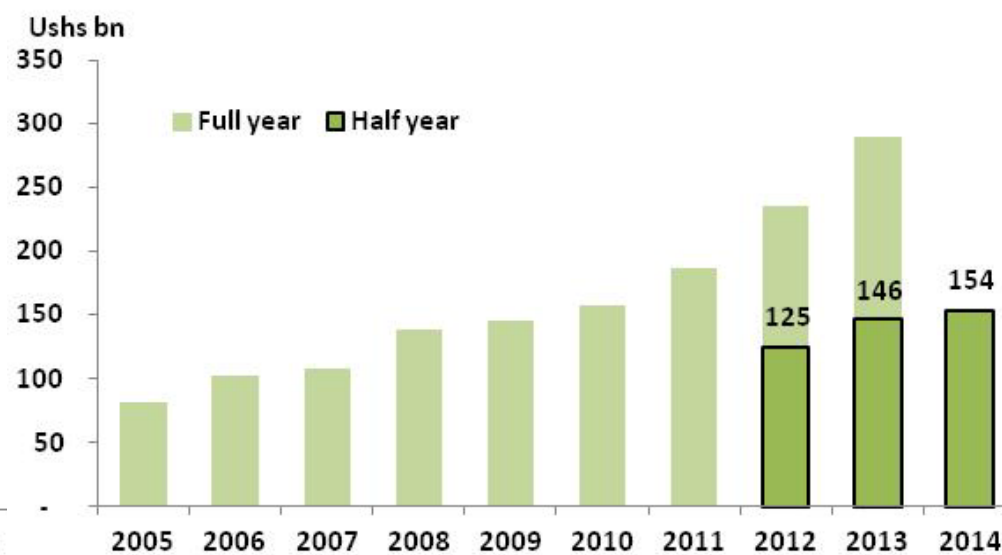
** Allowance is adjusted for international and local inflation

Financial performance

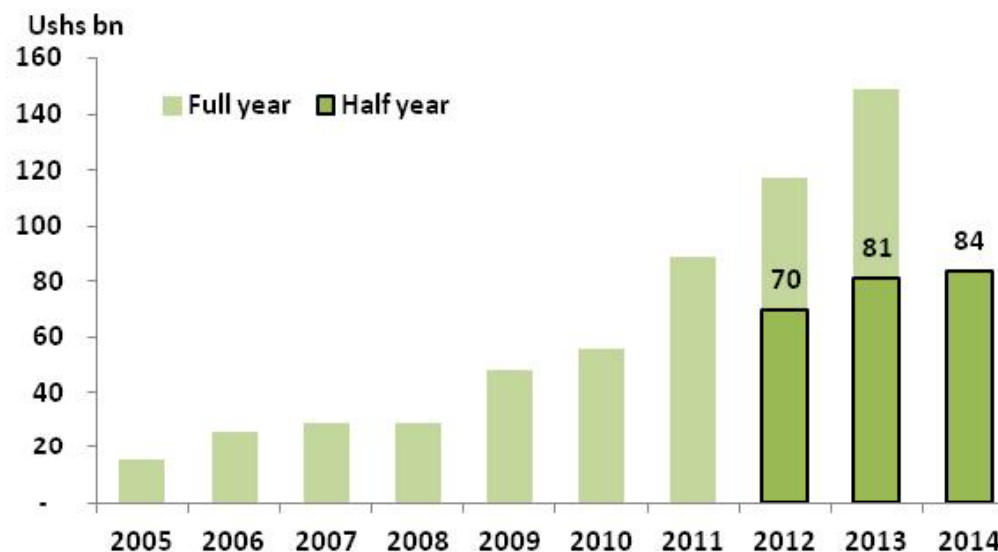
Revenue



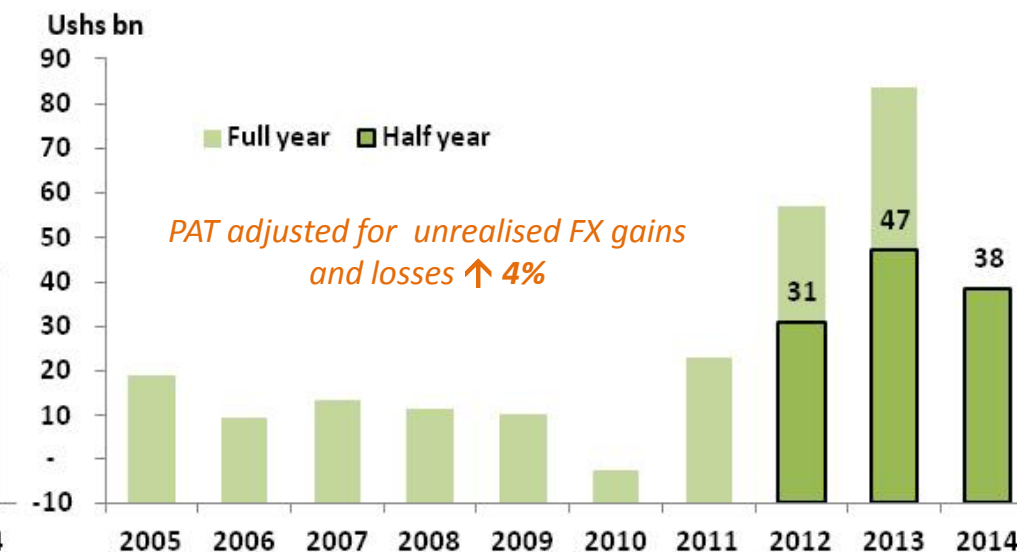
Gross profit



EBITDA



Profit after tax



Top 10 shareholders

New shareholder structure but Strategy/Control/Delivery remains

- In May 2014 Actis, through UHL, sold 45.8% of Umeme worth US\$98m to institutional and retail investors as well as management and directors
- Actis agreed to retain its minority position for at least two years and to put in place a management services agreement
- Management and directors purchased US\$6m shares compared with US\$3m at IPO. Total employee and director shareholding is 5.6%

Top ten		Shares	%
1.	Investec Asset Management	300,000,000	18.5%
2.	Umeme Holdings Limited	232,214,521	14.3%
3.	National Social Security Fund	231,722,771	14.3%
4.	Farallon Capital	126,962,483	7.8%
5.	Coronation Funds	53,635,204	3.3%
6.	Allan Gray Africa Funds	52,822,062	3.3%
7.	International Finance Corporation	45,220,900	2.8%
8.	Utilico Emerging Markets	40,281,788	2.5%
9.	Patrick Bitature	29,428,300	1.8%
10.	Everest Capital	23,823,048	1.5%
Others		487,766,928	30.0%
Total		1,623,878,005	100.0%

Trading summary

At 18th August 2014

USE share price (Ushs)	405
NSE share price (Ushs)	533
Shares in issue (m)	1,624
Year end	31-Dec
Market cap (US\$m)	252
Change YTD	7%
Change since IPO	51%
Total value traded since IPO (US\$m)	119

	Jun-14 ⁽¹⁾	At IPO
P/E	8.8x	10.8x
EV/EBITDA ⁽²⁾	5.5x	3.9x
EV/Buyout amount ⁽³⁾	1.3x	1.2x
Dividend Yield	6.5%	-
Return on unrecovered investments (US\$) ⁽⁴⁾	22.2%	-
ROAE (US\$)	27.0%	-

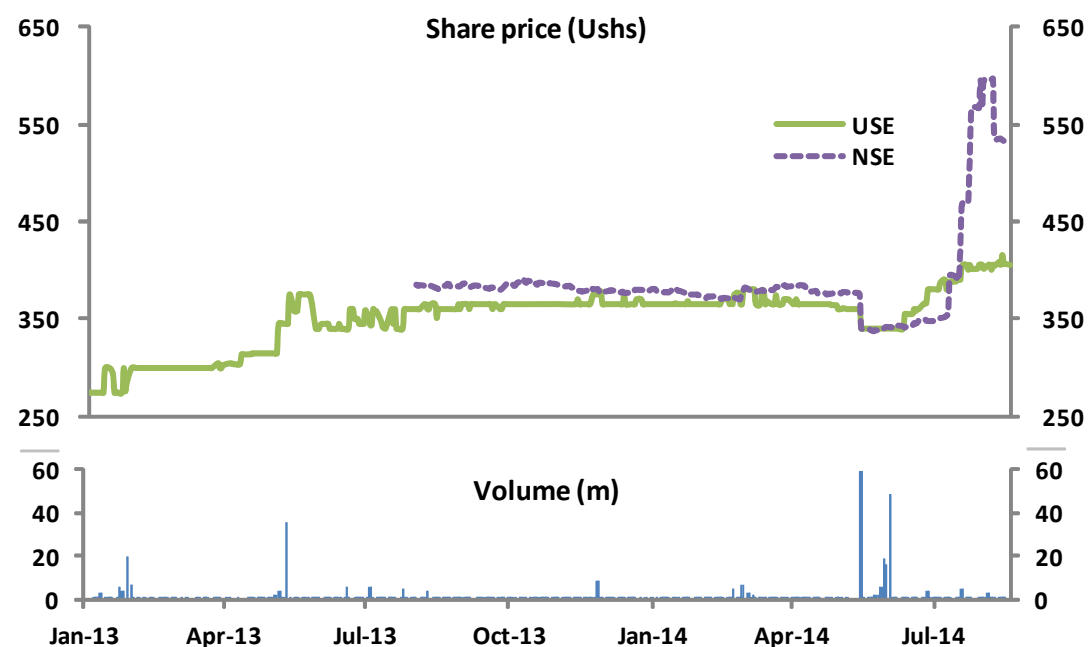
Notes

⁽¹⁾ Actual 12 months to 30th June 2014

⁽²⁾ Excludes finance income/cost & FX gain/loss. Includes interest on bank deposits

⁽³⁾ Indicative assuming GoU termination premium of 20% of unrecovered investment

⁽⁴⁾ Based on prior year closing unrecovered investment base



Deal of the Year - Umeme IPO



Best IPO in Africa



Best African IPO

Outlook for H2

- Safety
- Capex delivery
- Technical loss reduction
- Pre-payment metering
- Focus on opex
- Regulatory targets
- 50% dividend payment

